

# THE CONTESTED WORLD ECONOMY

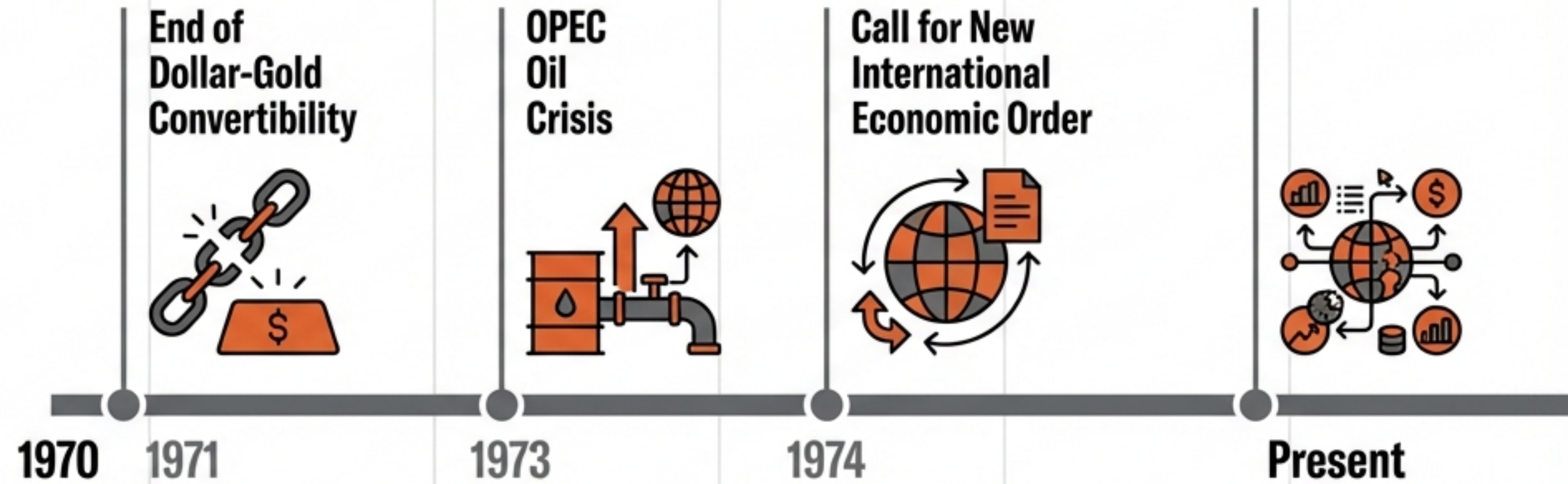
Week 1: Unearthing the Deep and Global Roots of International Political Economy



# What is IPE?

The study of politics and economics at the global level. It examines how states, markets, and societies interact.

## The Standard Narrative: A Late 20th Century Field





# A Rebirth, Not a Birth

Helleiner argues the 1970s was a revival of centuries-old debates, not a new beginning.



## A Global History

Thinkers from Asia, Africa, Latin America, and the Middle East were central. Ideas flowed East-to-West and South-to-North.



## Beyond the Three Orthodoxies

The debate wasn't just Liberalism vs. Mercantilism vs. Marxism. It included environmentalism, feminism, and pan-national movements.



# The Standard Framework: The Three Orthodoxies

The dominant ideological pillars of the 19th and 20th centuries.

## Economic Liberalism



Markets create peace. Focus on individual liberty and free trade.

## Neomercantilism



State power is paramount. Strategic protectionism builds national wealth.

## Marxism



Class conflict drives history. Capitalism is inherently exploitative and globalizing.



# Orthodoxy I: Economic Liberalism

Exploring the foundational ideas and their global interpretations.

## The European Core



Key Figures: Adam Smith, David Ricardo.

**The Market as Peacemaker. Free trade fosters prosperity and prevents war.**

“It is not from the benevolence of the butcher, the brewer, or the baker that we expect our dinner.” — Smith

## The Global Adaptation



Liberalism was not just a Western export; it was adapted and claimed by global thinkers.

- **China:** Yan Fu argued Confucian texts endorsed market policies centuries before Smith.
- **Americas:** Carlos Calvo (Argentina) adapted liberalism to defend sovereignty.
- **Africa/Ottoman:** Olaudah Equiano used liberal economic arguments to dismantle the slave trade.



# Orthodoxy II: Neomercantilism

Exploring the foundational ideas and their global interpretations.

## The Euro-American Core



Key Figures: Friedrich List, Alexander Hamilton.

**Strategic Protectionism. “Kicking Away the Ladder”**—preventing strong nations from keeping weak ones down.

**Key Term: Productive Power** (The capacity to produce is more valuable than current wealth).

## The Global Adaptation



Developing nations embraced protectionism to resist colonial domination.

- **China:** Sun Yat-sen’s developmental nationalism focused on state-led industrialization.
- **India:** M.G. Ranade formulated “Economic Nationalism” to counter British Empire policies.
- **Japan:** Indigenous neomercantilist thought predated Western contact.



# Orthodoxy III: Marxism

Exploring the foundational ideas and their global interpretations.

## The European Core



Key Figures: Marx, Lenin, Luxemburg.

**Class Conflict.** Capitalism forces globalization and creates a world in its own image.

“Imperialism is the highest stage of capitalism.”

## The Global Adaptation



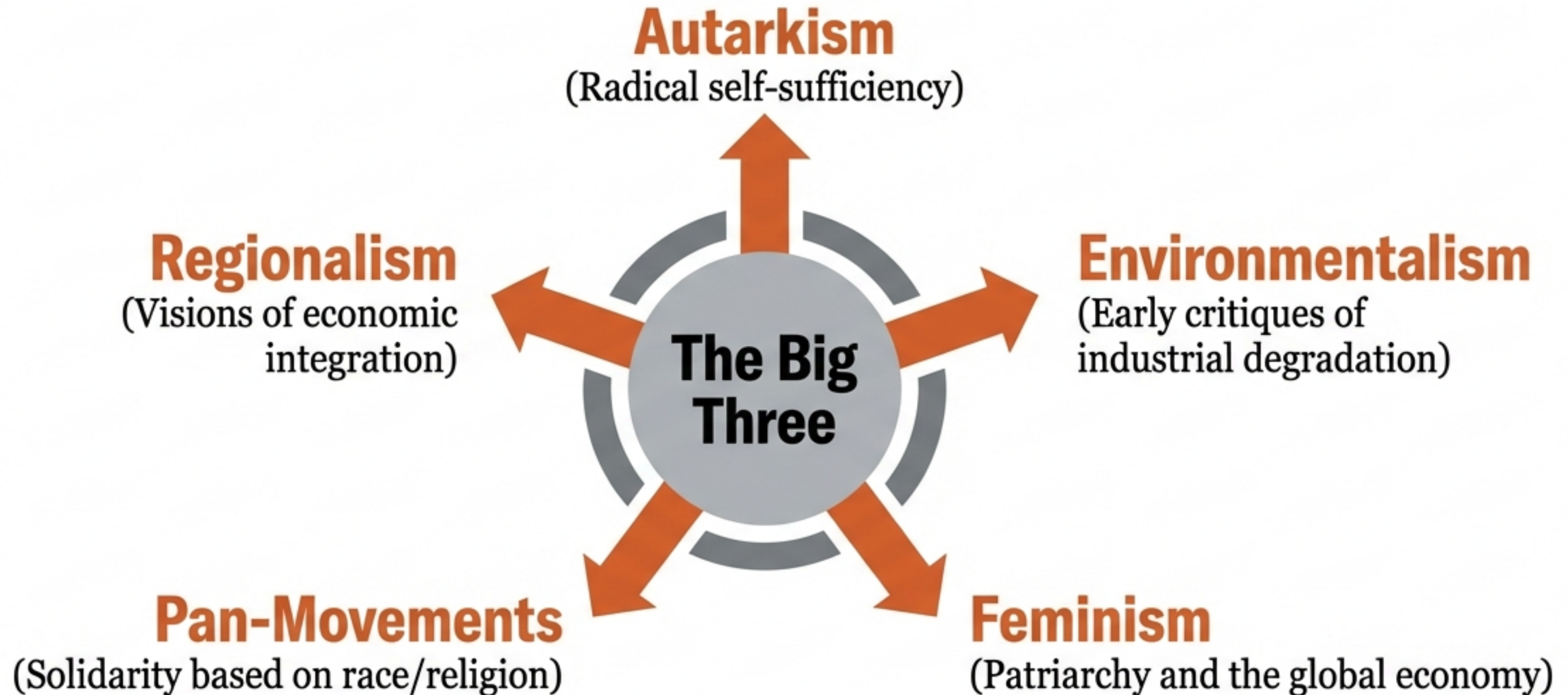
Marxism shifted from an urban theory to a tool for anti-colonial agrarian liberation.

- **Peru:** José Carlos Mariátegui adapted Marxism to Indigenous realities.
- **China/India:** M.N. Roy and Mao shifted the revolutionary focus from the urban proletariat to the agrarian peasantry.
- **Japan:** Kōtoku Shūsui adapted theories of imperialism.



# Why the Three Orthodoxies Are Not Enough

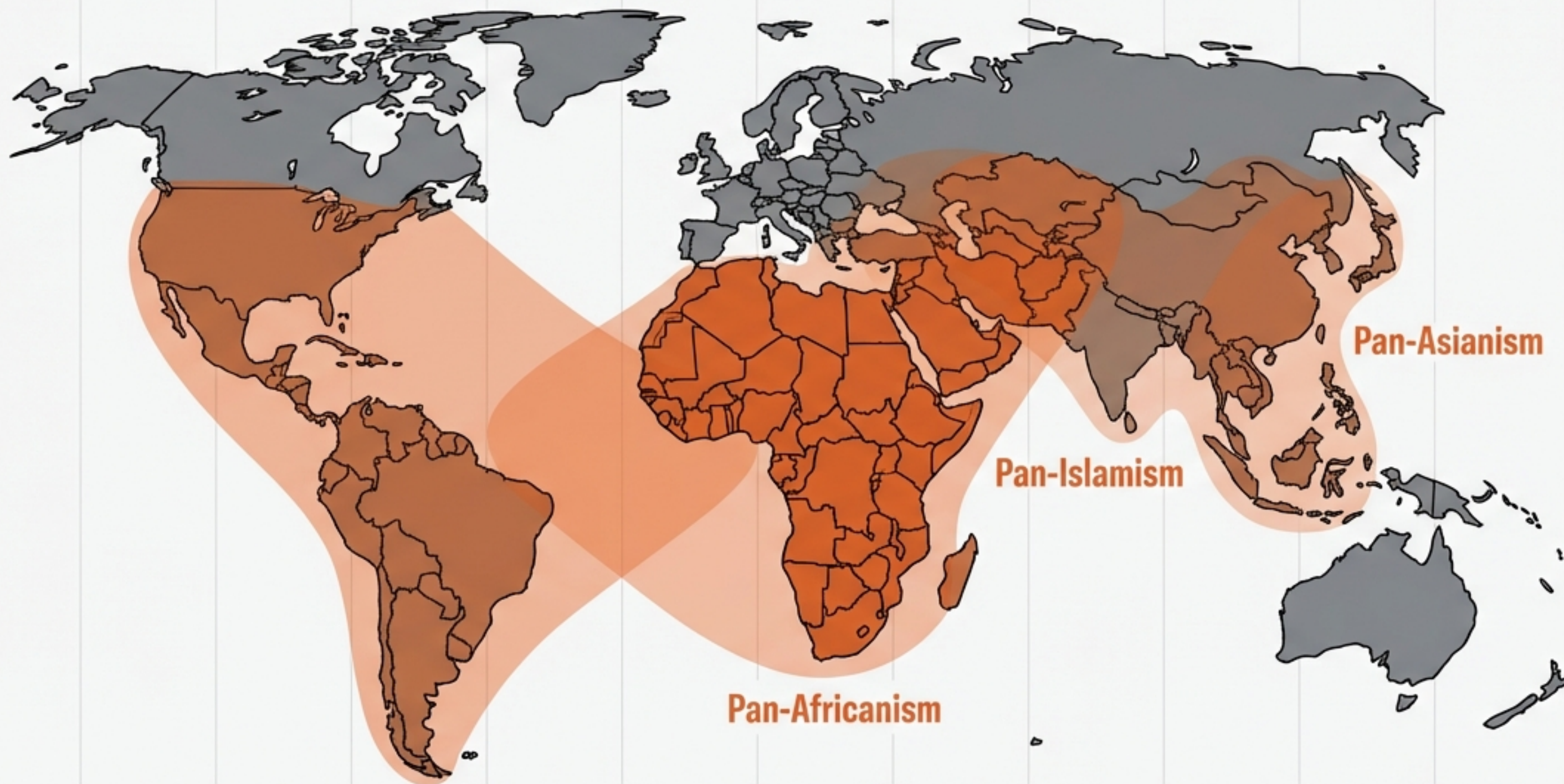
Focusing only on Liberals, Mercantilists, and Marxists misses nearly half the story.  
Pre-1945 IPE was teeming with other distinct worldviews.





# Solidarity Beyond the Nation-State: Pan-Movements

Rearranging the room, not just seeking a seat at the table.



**Pan-Africanism:**  
W.E.B. Du Bois and  
Marcus Garvey  
sought economic  
solidarity for the  
African diaspora.

**Pan-Islamism &  
Pan-Asianism:**  
Invoked  
transnational  
religious or  
civilizational  
identity to resist  
Western  
hegemony.



# Voices from the Margins: Feminism and Environmentalism

## Feminism



Thinkers highlighted the patriarchal nature of the world economy. They argued that global “wealth” relied on the unpaid or undervalued labor of women.

## Environmentalism



Pre-1945 thinkers were already critiquing industrial capitalism for ecological degradation. They anticipated modern sustainability debates by linking resource extraction to long-term impoverishment.



# Rethinking Economic Scale: Autarky and Regionalism

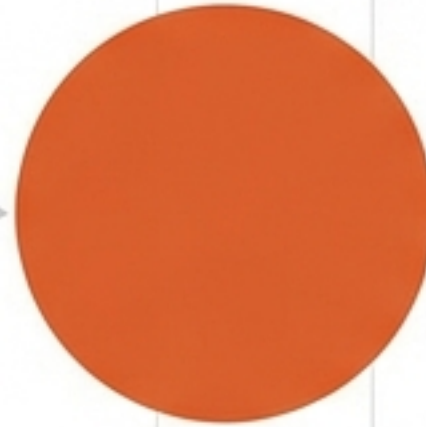
Alternatives to the standard Free Trade vs. Protectionism binary.

**National  
Protectionism**



**Neomercantilism**

**Regional  
Integration**



**Economic  
Regionalism**

A middle ground. Visions for integration in East Asia, Europe, and the Americas.

**Total Isolation**



**Autarkism**

Radical self-sufficiency. A permanent reduction of dependence on the global system.



# Why This History Matters

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## Escaping Intellectual Path Dependence

### **Current history is biased by the 1970s.**

Standard IPE history reflects the anxieties of the Western academy during the breakdown of Bretton Woods. It is a product of its time.

### **Deep history reveals the roots of modern crises.**

Global inequality, environmental degradation, and the resurgence of economic nationalism all have pre-1945 roots that are often ignored.

### **From Monologue to Dialogue.**

Helleiner's goal is to build "Global Conversations"—moving beyond a Western-centric view to acknowledge a diverse, multipolar intellectual heritage.



# The Vocabulary of the Contested World

|                                   |                                                                                                  |
|-----------------------------------|--------------------------------------------------------------------------------------------------|
| <b>IPE</b>                        | International Political Economy—the study of politics and economics at the global level.         |
| <b>The ‘Rebirth’ Thesis</b>       | The view that 1970s IPE was a revival of pre-1945 debates rather than a new field.               |
| <b>Productive Power</b>           | Friedrich List’s concept that the <i>ability</i> to produce is more valuable than wealth itself. |
| <b>Infant Industry Protection</b> | Temporary protectionism designed to allow new industries to develop before facing competition.   |
| <b>Autarky</b>                    | A policy of national economic self-sufficiency and withdrawal from trade.                        |



# Critical Inquiry and Discussion

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01

Why might textbooks have traditionally focused on European/American thinkers? What are the practical consequences of this narrow focus for students today?

02

Why is it important to recognize that Liberals and Marxists disagreed *among themselves*, rather than treating them as monolithic blocks?

03

How might perspectives like Pan-Africanism or Pan-Asianism offer different insights into today's economic blocs compared to standard trade theory?



# Next Week: The Rise of European Liberalism



Week 1:  
Global Context

Week 2:  
Classical Foundations

We will dive deep into the European canon.

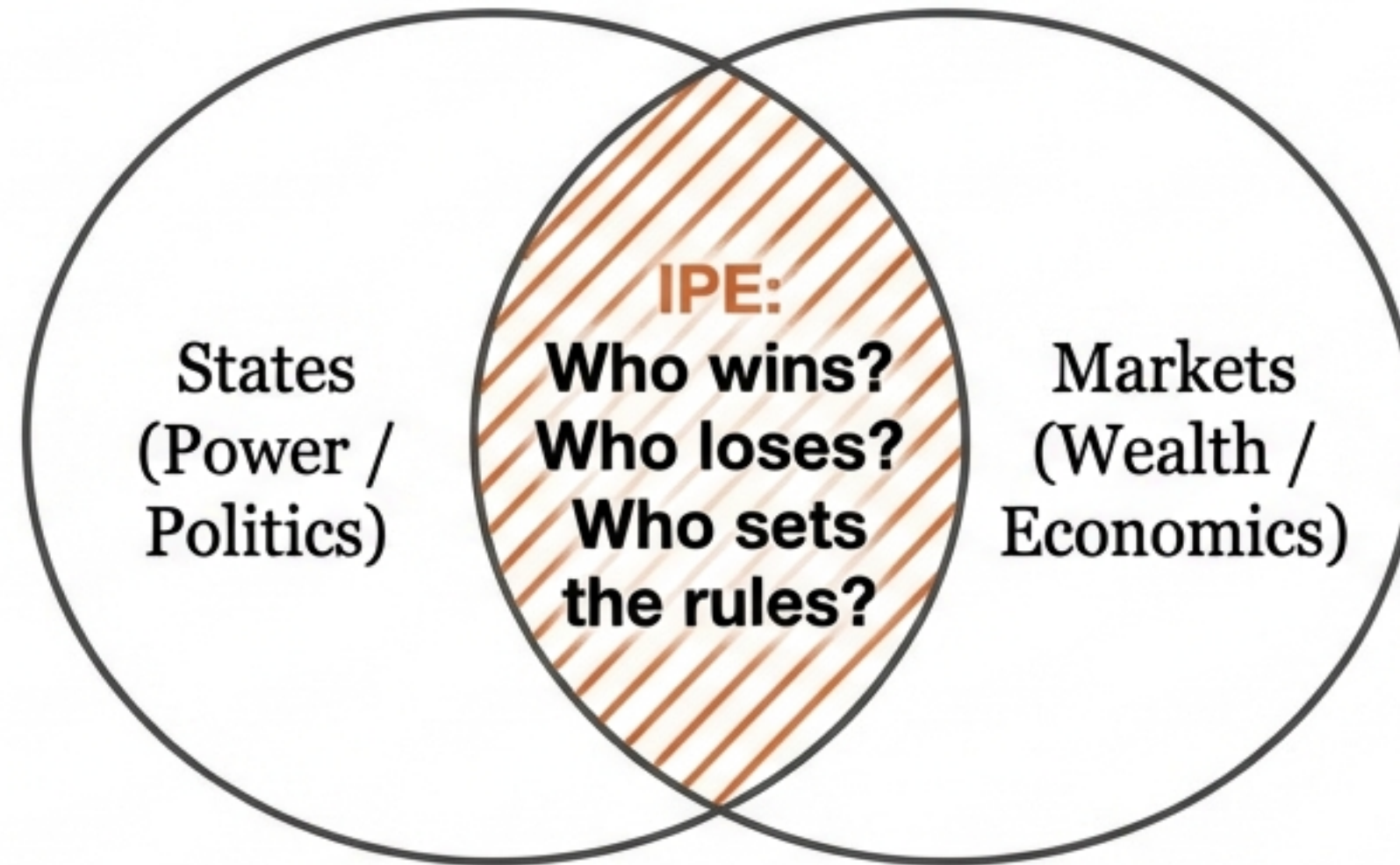
- Adam Smith & *The Wealth of Nations*
- David Ricardo & Comparative Advantage
- Smith's Critics: The internal debates of early liberalism

*Keep this week's 'Global Context' in mind—Smith wasn't writing in a vacuum.*



# Defining the Field: Power vs. Wealth

What is International Political Economy (IPE)?



## The 'Rebirth' Thesis (Susan Strange)

IPE was not “born” in the 1970s, but revived by three structural shocks:

1. The end of dollar-gold convertibility (1971)
2. The OPEC oil crisis (1973)
3. Demands for a New International Economic Order (NIEO) (1974)



# Deep Dive: “Kicking Away the Ladder”

The Theorist: Friedrich List (1841)

## The Metaphor:

Wealthy nations (like 19th-century Britain) used **protectionism** to climb to industrial dominance. Once **at the top**, they **demand free trade** from others to prevent competition.

## Crucial Distinction: Productive Power vs. Wealth

Wealth = Having cash or gold (Fragile)

Productive Power = The capacity to produce (Resilient)

“The power of producing wealth is therefore infinitely more important than wealth itself.”





# The 'Jolt': Davos, January 2026

**DATE:** January 20, 2026  
**LOCATION:** World Economic Forum  
**SPEAKER:** Prime Minister Mark Carney

**The Context:** The “Rules-Based International Order” is fracturing.  
U.S. tariffs are rising. Territorial pressures on Greenland are escalating.

**The Provocation:** “We are in the midst of a rupture, not a transition.”



# The Carney Doctrine: 'Living Within a Lie'

Metaphor: Václav Havel's "The Power of the Powerless" (1978)



## The Greengrocer:

A greengrocer puts a sign in his window ("Workers of the World, Unite!") not because he believes it, but to avoid trouble.

## The Analogy:

For decades, middle powers "placed the sign in the window"—praising the Liberal Order—while knowing it was partially false.

## The Shift:

The strong (Great Powers) have exempted themselves from the rules.

**Carney's Call:** "Friends, it is time for companies and countries to take their signs down."



# Triangulating the Speech

## Mapping Carney's 2026 Address to Course Frameworks

### Liberal Critique

He exposes the “fiction” of the Liberal order. Rules were enforced asymmetrically, serving the strong.

### Carney 2026

### Neomercantilist Solution

Calls for “building strength at home” and “strategic autonomy” in energy and AI. Echoes Friedrich List.

### The Hybrid: Values-Based Realism

A combination of principled commitment to sovereignty with the pragmatic realization that we must build “fortresses” to survive.



# The Language of DWA 103

## **Public Good**

Non-excludable and non-rivalrous.  
(e.g., Clean air, National Security).

## **Free Rider Problem**

When actors benefit from public goods without paying. (e.g., NATO defense spending, Climate agreements).

## **Principal-Agent Problem**

When an agent acts in their own interest rather than the principal's, often due to asymmetric information.

## **Path Dependence**

How decisions at Time T are constrained by decisions made at Time T-1. (e.g., QWERTY keyboards, USD hegemony).



# Seminar Questions

- 1. Is 'Values-Based Realism' just Neomercantilism with better branding?**
- 2. Who gets to define 'universal values' in a fragmented world?**
- 3. If the 'Ladder' is being kicked away again in 2026, where does that leave the Global South?**

*'Nostalgia is not a strategy.' — Mark Carney, Davos 2026*